# Oct 12. Midterm

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# Jurisprudence

*Natural Law* theory postulates the existence of universal laws of nature which override human laws and provide the standard against which the efficacy and legitimacy of human laws are to be judged. *Legal Positivism* rejects the notion that law is a reflection of a set of natural principles, and claims that the law is what those who hold political power say the law is. Legal Realism (The "Bad Man" Perspective) holds that law, as applied, almost always comes down to a matter of interpretation and that therefore the character and biases of individual judges often determine what the law is in individual cases. Critical Legal Studies is a radical theory that claims that all laws are merely political judgments which reflect the views of those with political and economic power. *Law and Economics* is an attempt to find rationality in the law by claiming that the law is or at least ought to be a reflection of certain neutral and objective principles grounded in economic theory. What follows is a brief description of each of these theories.

**Wall-E Example**

Personhood and standing are statutory creatures granted by the state. Manufactured chattel defaults to the personal property of the inventor/owner of the physical components. Because no sovereign legislature has enacted a statute granting civil rights or standing to non-biological artificial lifeforms, the court cannot invent one. The law as it is treats Wall-E as chattel (res), not a legal person VS Under Aquinas, positive laws that violate basic moral reason are not binding (lex injusta non est lex) Under Locke, beings endowed with reason and self-awareness hold inherent natural rights to life, liberty, and self-possession that precede the state. To reduce a self-aware, feeling being capable of suffering to a mere commercial commodity (res) is fundamentally unjust; thus, natural law recognizes Wall-E's liberty.

**Barry Bonds's 73rd Home Run Ball Example**

Legal Positivism Would apply Gray's Rule strictly. Legal Realism Rejects the rigid application of Gray's Rule because the facts were interrupted by mob violence. Law and Economics Analyzes what rule creates the most efficient behavioral incentives in ballparks. A rule that rewards Hayashi 100% encourages mob riots to dislodge balls from clean catchers; a rule requiring 100% control under Gray's standard could reduce safety.

**Whaling Custom vs. Common Law Example**

The baseline common-law rule for wild animals requires actual and complete reduction to possession (Pierson v. Post). Merely wounding an animal does not confer title. Law and Economics: Judge Lowell upholds the New Bedford trade usage ("iron holds the whale") because it is longstanding, recognized trade-wide, and prevents violent disputes among ships in hazardous Arctic seas

# Property

**A relationship between a person and a res &. a res with which a person has a relationship**

**We convey (transfer) perfect (create) extinguish (lose) conversion (steal) property Interests**

**Perfecting**: Create, Purchase, Find, Bailment (Dropping off a suit at the dry cleaners), Confusion (oil pipeline mixed res = proportional ownership), By Law (Inheriting a bank account - operation of law).
**Extinguishing**: Sale/Gift/Abandon (both lost and don't want it anymore)/consumption/Destruction/Bailment/Condemnation (force sale of home); Dissipation (Ice melts)
**Pre-Possessory Interest**: right to possession when a person takes significant but incomplete steps to possess abandoned property

**Bundle of rights = Tripartite Relationship = (variable with different types of property interest)**

"*Exclusion* to what extent can you keep other people from using, consuming, doing something with this property. *Dominion*, what can you do with this property? *Disposal* can you get rid/use up this property."

**Types of Property Interest = (Posses & Intent to posses)**

"Types of property relationships. Ownership is *fee simple/freehold*. Rent. Lease. Trust is like saying hey hold my car keys for a minute. You have entrusted someone with that res. *Easement* is an allowance for a very specific use of a property. The *contingent interest* is conditional ownership. *Encumbrance/lien* is a collateral relationship that occurs when someone does not pay. We can convey a *contingent* interest with a *reversion* e.g. use this land as a library or else its mine again!

**Intellectual Property**

**Copyright**: Automatically. "original works of authorship fixed in any tangible medium of expression … from which can be perceived, reproduced, or communicated with machine" Notes from lecture, novel, painting, song. U.S. Copyright Office for infringement."
**Trademark**: Do not legally exist until the mark is used in commerce. Any word, name, symbol or device used by manufacturer or merchant to identify/distinguish goods. Wharton, Nike, Apple. U.S. Patent and Trademark Office (USPTO) to protect fully.
**Patent**: approved application U.S. Patent and Trademark Office (USPTO) only! Approval must fall into statutory category of Process (A method of curing rubber); Machine (robotic surgical instrument); Manufactured (tire); Composition of matter (drug molecule). Then Mayo two-step framework. Is the patent directed to a law of nature (x causes y), a natural phenomenon (made by nature), or an abstract idea (math calculation, mental process)? Technical solution to a technical isn't abstract. problem Do the elements of the claim contain an "inventive concept" that transforms it into "significantly more" than the ineligible concept itself?
**Trade Secrets**: Automatically + reasonable steps to keep secret (non-disclosure agreements). Information not generally known or readily ascertainable. Can be lost if competitors "reverse-engineer" through legally-acquiring products or independent discovery.

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# Contract

**Was there a contract? Enforceable Promise**

Unilateral = One promise * accept through performance | Bilateral = Two promises * accept by making promise

Acceptance = yes, sure, pointing at a coffee and saying nothing (implicit contract "without words"), or "I promise"

**Traditional Bargain Model**: Four required elements:

Was there ***MUTUAL ASSENT*** (Offer & Acceptance)

- Is there a Valid Offer?
    a. Did the communication manifest an objective willingness to be bound?
    b. Were essential terms reasonably certain and definite?
- Power of Acceptance Terminated Before Acceptance?
    a. Revocation by offeror before acceptance takes effect?
    b. Offeree learns of facts inconsistent with the offer?
- Was there Proper, Timely Acceptance?
    a. Contract forms PRECISELY at the moment of acceptance.
    b. UNILATERAL: Offer invites acceptance ONLY by performance/action.
    c. BILATERAL: Offer expressly invites acceptance by a RETURN PROMISE.

Was there ***CONSIDERATION*** (Bargained-for Exchange]

- Is consideration "valuable" in the eyes of the law?
- Performing what one was already legally obligated to do ≠ consideration.
- Love isn't valuable in the eyes of the law
- If It is a Gratuitous or "nude" promise (*nudum pactum*); check promissory estoppel.
  **PROMISSORY ESTOPPEL**
    1. Was there a promise?
    2. Should the promisor reasonably have expected reliance?
    3. Did the promise induce reasonable, detrimental reliance?
    4. Is enforcement necessary to avoid injustice?

**Legality of Object:** Duh

**Capacity:** Not intoxicated/ability to do what an adult does

In the sale of goods (***regularly purchase***) = "It's a function of law" = There is a contract without Traditional Bargain Model

**Examples**

Walking = "lets get together some time!" "Sure!" - No consideration between parties not a contract

Michael Jackson = He signed a contract as a child because of counseling + support

"What would you offer me for my shares?" = no way to accept = no mutual assent

**Breach Remedy = (only if you can't measure cost will you turn to Δvalue)**

**Expectation:** First. "Put the breached part in the situation they would have been if xyz had fulfilled their promise."

**Reliance:** Second. Put breached part in situation before contract.

**Specific Performance:** Third: Fulfill the promise.

**Limitations on Contract Damages**

**Reasonable Certainty:** Damages cannot be speculative or conjectural . New businesses without an operating track record cannot recover speculative lost future profits.

**Foreseeability (Hadley v. Baxendale):** Consequential losses are recoverable only if they were reasonably foreseeable to the parties at the time of contracting . (e.g., interest on emergency loans taken out to pay college tuition due to a business breach is not foreseeable; but a ruined lawn dinner party is a foreseeable consequence of failed mowing) **.**

**Mitigation of Damages:** An injured party must take reasonable steps to minimize losses (e.g., covering by finding a substitute supplier or seeking comparable work)

**Costs of Suit**: Litigants pay their own attorney fees and court costs

**No Punitive Damages**: Contract remedies are strictly compensatory; punitive damages cannot be awarded

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# Agency

Actual Authority (Express vs. Implied) — Authority flowing from principal to agent. Implied authority extends only to transactions that are usual and necessary in the ordinary course of the business actually conducted (Miller v. Wick).
Apparent Authority — Authority created when manifestations from the principal to a third party reasonably lead that third party to believe the agent has authority.
Fiduciary Duties — The highest legal standard of care and trust, comprising loyalty (putting principal first, avoiding self-dealing), care (competence and confidentiality), and full disclosure
Agency & White-Collar Crime
Putative Agent — An individual who claims or purports to represent a principal; an agent's self-declaration can never create apparent authority.

# Swag Termonology

The Latin expression for a case with no prior precedent is ***primae impressionis ->*** Broader legal principles
***Concurrence***: The requirement that the ***mens rea*** (guilty mind) and ***actus reus*** (guilty act) occur in direct unison.

"While committing a ***malum in se*** (evil it itself) crime like murder requires strict concurrence between the killer's deadly intent and the physical act, a ***malum prohibitum*** (legally wrong) infraction like speeding is a strict liability offense where the state can punish you regardless of your simultaneous mental state.

***Curtilage*** vs. ***Open Fields*** = intimate area immediately surrounding a home receiving the highest privacy protection; open fields and industrial complexes receive diminished protection
***Improper Means*** — In trade secret law (DuPont), acquiring commercially valuable secrets through espionage, aerial surveillance, or methods that fall below standard commercial morality
A ***litigant*** is any person, company, or organization directly involved in an active lawsuit, serving as an umbrella term for both the ***Plaintiff*** and the ***Defendant***.
***Settlement risk*** = risk one party performs a financial exchange while other fails to satisfy obligation

Popov v. Hayashi
- Dispute over Barry Bonds's 73rd home run ball, hit October 7, 2001.
- Popov had a protected pre-possessory interest; Hayashi obtained possession without wrongdoing. Neither established a superior claim.
- Remedy: Sell the ball and split proceeds 50% / 50%.

Swift v. Gifford
- Whale valued at $3,000.
- Industry custom awarded ownership to the ship whose harpoon first remained attached while pursuit continued.
- Result: Rainbow received 100% of the whale; Hercules's claim was dismissed with costs.

Ericson v. Playgirl
- Trial award: $12,500, calculated as ¼ × $50,000 estimated full-cover value.
- Appeal: Award was speculative; replaced with $300 nominal damages, by analogy to Cal. Civ. Code §3344.
- Advertising prices did not establish actual career losses: full page $7,500–8,000; quarter page $2,500; back cover $11,000.
- Rule: Lost publicity damages require reasonably certain evidence of professional or commercial loss.

Steinberg v. Chicago Medical School
- $15 application fee for 1974–75 supplied consideration for evaluation under published criteria.
- Class action sought an accounting of application fees over 10 years.
- Trial court dismissed 4 counts; appellate court reinstated Count I—breach of contract—only.
- Contract promised the published evaluation process, not admission.

Alice v. CLS Bank
- Statute: 35 U.S.C. §101.
- Two-step test: Is the claim directed to an ineligible concept? If so, does it contain an inventive concept making it significantly more?
- 9–0: All **3 claim categories—method, system, media—**were patent-ineligible.
- Generic computer implementation did not make abstract settlement-risk mitigation patentable.

DuPont v. Christopher
- Defendants took 16 aerial photographs of the unfinished Beaumont, Texas plant on March 19, 1969.
- Result: Aerial industrial surveillance constituted improper means of acquiring a trade secret.
- Improper means need not independently violate another law. Owners must take reasonable secrecy precautions, not prevent every possible intrusion.

Skilling v. United States
- Statute: 18 U.S.C. §1346, honest-services fraud.
- Enron stock had traded at $90/share in August 2000; Skilling sold $200 million in stock, netting $89 million.
- Rule: §1346 covers bribes and kickbacks; undisclosed self-dealing alone is insufficient.
- Result: Honest-services basis for the conspiracy conviction failed; case remanded.

Percoco v. United States
- During an 8-month hiatus from public office in 2014, Percoco accepted $35,000 to intervene in a state labor agreement.
- Informal political influence alone does not establish a duty of honest services to the public.
- An actual government agency relationship can establish that duty despite absence of formal public employment.
- Result: Conviction reversed and case remanded because the jury instructions relied on an overly vague influence-and-control standard.

Miller v. Wick Building Co.
- Proposed building sale: $800,000, representing 75% of corporate assets.
- The manager lacked implied actual or apparent authority to promise a brokerage commission for this extraordinary transaction.
- Rule: Executive title alone does not authorize transactions outside the company's ordinary business.
- Result: Corporation was not bound.

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# Business Forms

1. Sole proprietorship
    - Single proprietor; requires no formal state filing. Revenue flows directly through to personal self-employment taxes.
    - Pros: Low startup overhead, total managerial authority, straightforward governance
    - Cons: Total personal liability exposure; inability to issue equity shares to outside investors.
    - When to use: A single founder launching a low-liability, small-scale venture without debt or venture financing.
    - LLC Alternative: Switch when hiring workforce
2. General partnership—GP
    - Multiple co-owners. Forms automatically. Standard pass-through tax treatment.
    - Pros: Informal setup. Customizable profit-sharing and governance terms.
    - Cons: Partners bear joint and several personal liability
    - When to use: Priority is minimal administrative effort and principals willingly assume personal financial exposure.
    - LLC/LLP Alternative: Adopt when owners demand shared operations without incurring individual liability
3. Limited partnership—LP
    - Structure/Tax: Mandates minimum one general partner and one limited partner. Standard pass-through taxation.
    - Pros: Limited partners enjoy asset protection while the general partner maintains operational command.
    - Cons: General partner assumes full personal exposure. Passive investors face restricted managerial control
    - When to use: Investment funds, private equity, or real estate projects
    - LLC Alternative: Choose when every participant seeks full corporate protection alongside managerial flexibility.
4. Limited liability company—LLC
    - Structure/Tax: Flexible membership requirements. Defaults to single-member disregarded entity or multi-member partnership tax status, with corporate taxation options.
    - Pros: Corporate liability shield; customized economic terms; avoids statutory S-corp investor limits. Operating agreements control governance, voting, and capital distributions.
    - Control: Member-managed for direct owner oversight; manager-managed for centralized board-style direction. IRS: LLC ownership and taxation, Delaware: LLC management
    - Cons: Annual statutory fees; complex partnership accounting rules; active members face self-employment taxes; institutional funds prefer standardized corporate shares.
    - When to use: Closely held businesses requiring statutory liability protection without rigid corporate formalities.
    - C Corp Alternative: Adopt when issuing preferred stock, securing institutional venture capital, granting stock options, or planning an initial public offering.
    - Liability Note: Members receive statutory immunity from company debts by default, but remain free to execute personal guarantees. Delaware: LLC liability

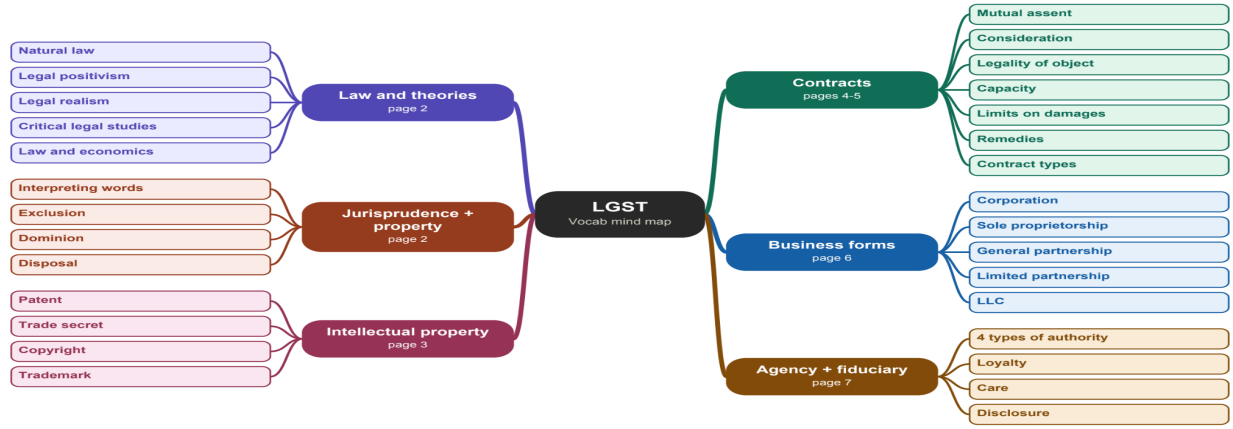
Corporation (C corp)
- Structure/Tax: Independent entity created via state charter. Corporate tax, plus shareholder dividend payouts tax
- Pros: Complete shareholder liability protection; multi-class equity issuance (preferred, common, options); frictionless stock transfers for VC funding
- Cons: Exposure to double taxation; strict operational governance (bylaws, board meetings, formal minutes);
- When to use: Raising institutional capital, distributing stock options
- LLC Alternative: firms seeking single-tier taxation and flexible governance without institutional backing.
- Exam trap: Corporate veil piercing exposes owners under severe undercapitalization, commingled funds, ignored corporate formalities, or actual fraud. Shareholders always remain liable for direct personal torts.

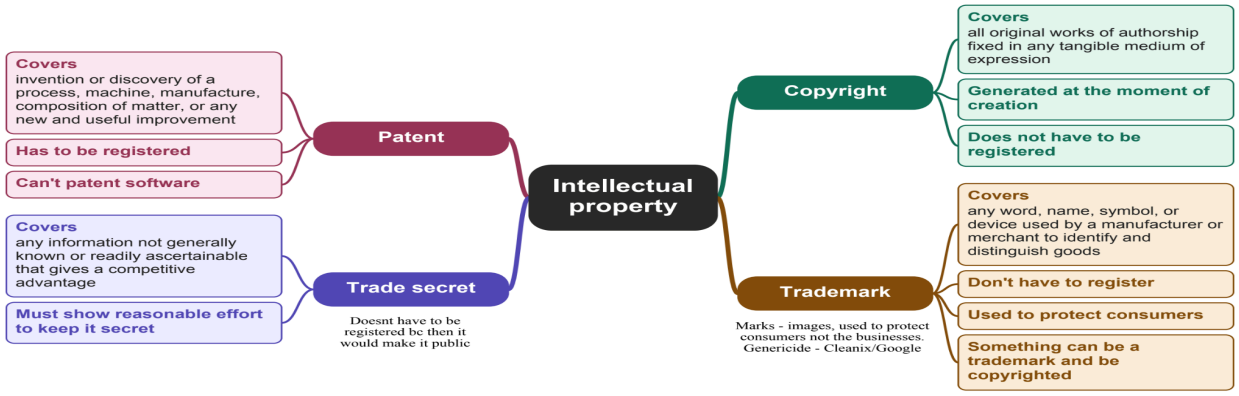
1. Bobby & Jeevus / Maya & Leo (The Mobile Delivery Truck)
    The Facts: Two founders pool money to sell goods (cannabis / tacos) out of commercial trucks without filing state paperwork. An employee causes an accident or explosion ($150,000+ in damages).
    The Default Trap: Operating informally with 2+ people defaults to a General Partnership. Under joint and several liability, creditors can seize 100% of either founder's personal bank accounts and assets, even if one founder wasn't present.
    Recommended Entity: Limited Liability Company (LLC)
    The Rule / Reason: Creates an immediate statutory liability shield protecting personal assets from catastrophic vehicle and commercial torts, retains pass-through taxation, and avoids rigid corporate board formalities.
2. Bob, Svetlana & Juanita (The Pea Plant Venture)
    The Facts: Bob and Svetlana partner to extract hormones from gene-altered peas. A European investor (Juanita) offers €5 million, but demands that 20% of hormones be sold at cost to underresourced clinics. The company later sells to agribusiness giant Cargill.
    Why Other Entities Fail:
        S-Corporation is Disqualified: S-Corps legally forbid non-resident alien (foreign) shareholders (Juanita lives in Europe).
        Traditional C-Corporation Fails: Selling 20% of inventory at cost violates the fiduciary duty to maximize shareholder profit, exposing directors to shareholder lawsuits.
    Recommended Entity: Benefit Corporation (B-Corp) chartered as a C-Corp
    The Rule / Reason: The Benefit Corporation charter gives directors explicit legal protection to prioritize a social/health mission over pure profit. The underlying C-Corp structure accommodates foreign capital (€5M) and provides the stock structure needed for an acquisition exit to Cargill.
3. Max's P Corporation (Dual-Class Stock & Enterprise Debt)
    The Facts: Max forms a venture issuing 100 Class AA shares (Max keeps all: 2 of 5 directors, 60% dividends, 0% liquidation) and 100 Class BB shares (family: 3 of 5 directors, 40% dividends, 100% liquidation). The firm generates $5B in revenue and $1B in debt.
    Why Other Entities Fail: S-Corporations are strictly restricted by federal statute to a single class of stock; issuing dual-class shares with different voting, dividend, and liquidation rights is legally prohibited.
    Recommended Entity: C-Corporation
    The Rule / Reason: Accommodates complex multi-class equity structures. Because a corporation has an independent legal personality, Max personally owes US$0 of the company's $1 billion debt.
4. Tamara & Beto / BetTam!! (The Tech Startup Scaling for VC)
    The Facts: Classmates write commercial valuation software in a dorm room, earn $40,000, and Beto secretly licenses it. Later, they reconcile, hire developers, and seek Silicon Valley venture capital requiring standard preferred stock and equity pools.
    The Default Trap: Without registration, they default to a General Partnership, where each owes the other fiduciary duties of loyalty and disclosure (Beto's secret licensing was an unlawful breach of loyalty).
    Recommended Entity: C-Corporation
    The Rule / Reason: Institutional venture capital firms and angel funds require C-Corporations to issue preferred shares, establish equity incentive stock option plans for new hires, and prepare for institutional acquisition or an IPO.

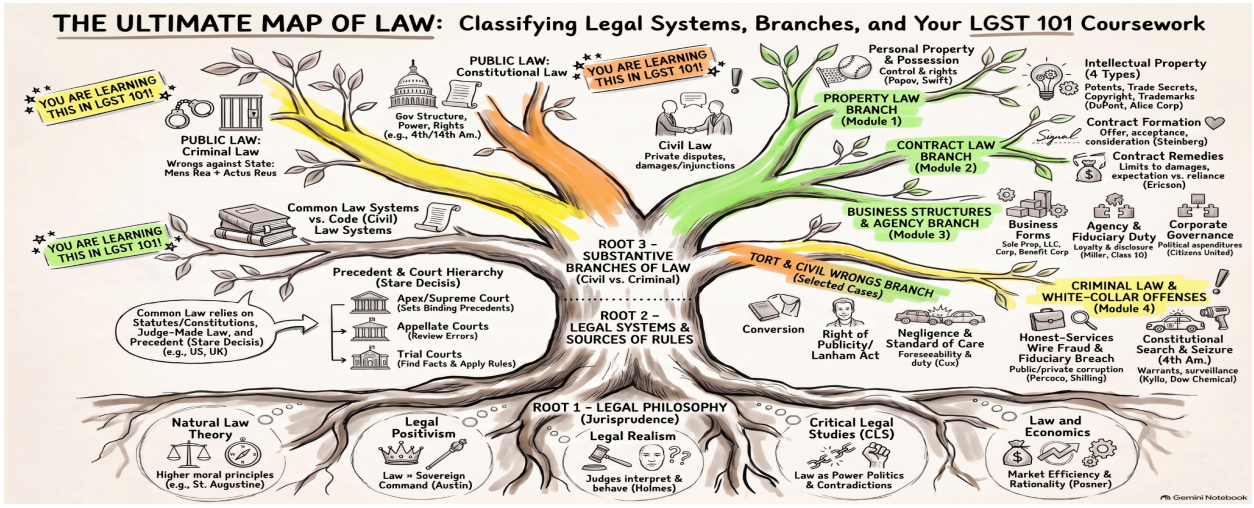
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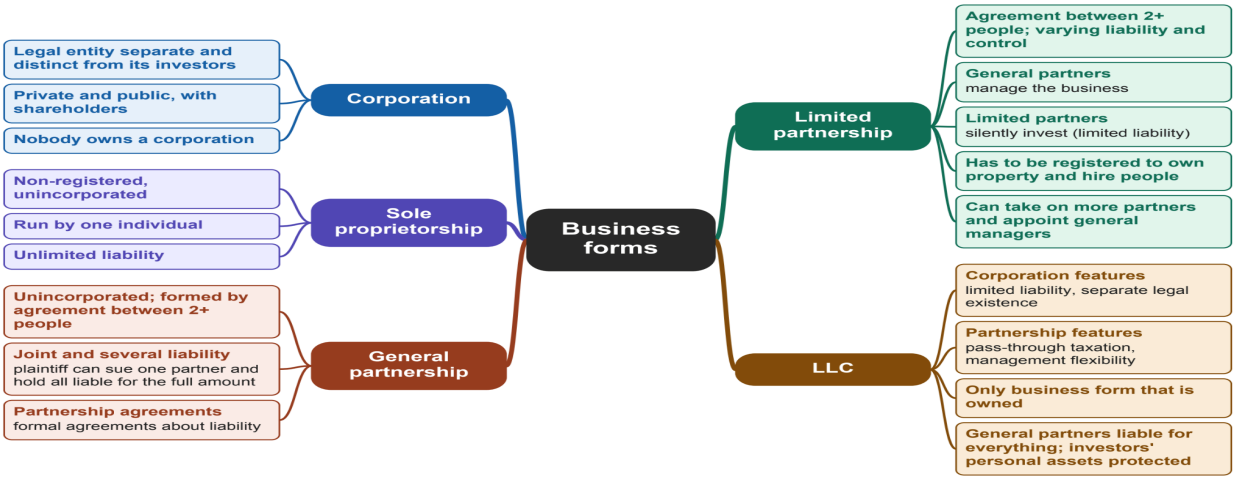



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Four elements must be present. Mutual assent has two parts.

